Meridian Actuarial Advisors LLC

www.meridianactuarial.com

April 8, 2016

Elizabeth Horne
Director of Operations
Howard and Sons

Dear Ms. Horne:

Thank you for asking us to value the pension plan that Howard and Sons sponsors for its employees. We appreciated the time you and your staff gave us in our first conversations. They left us with a clear picture of what the company needs from this work and when it needs it. This letter sets out the scope of the valuation, the information we will rely on, the standards we will work under, and the terms of our engagement. It becomes our agreement when you sign it and return a copy to us.

What the Valuation Will Cover

We will perform an actuarial valuation of the plan for funding purposes. The valuation measures the benefits the plan has promised as of the valuation date and compares that measure with the plan's assets on the same date. From that comparison we will determine the minimum contribution the funding rules require for the plan year and the largest contribution the company may deduct for it.

Our report will set out the results, the data and plan provisions they rest on, and the assumptions and methods used to produce them. It will also reconcile our results to those of the prior valuation. That way you can see which changes came from the plan's own experience and which came from changes in method or assumptions.

One piece of work sits outside this letter. The figures the company reports in its financial statements are a separate measurement under different rules, and we have not been asked to prepare them. If you want them, we will set out the terms in a separate letter.

The Information We Will Rely On

A valuation is only as sound as the information behind it. We will rely on data and documents supplied by the company and by the plan's trustee, and we will not audit them. We will review them for completeness and for consistency with the prior

valuation. Where we find a gap or a conflict, we will tell you what we found and what we did about it, and our report will say so as well.

To start the work, we will need four things from you:

- 1. Participant data as of the valuation date, covering active employees, former employees entitled to a deferred benefit, and retirees and beneficiaries in pay.
- 2. The plan document and every amendment adopted since the prior valuation.
- 3. Trust statements for the plan year, showing assets, contributions received, benefits paid, and expenses.
- 4. The most recent valuation report and any notes on data or method that came with it.

Jennifer Vasquez will send a detailed request in the first week, with the file layout we prefer. Your staff should not spend time reformatting anything to match it. Files sent as your systems produce them are fine, and we will do the conversion on our side.

Standards and Assumptions

We will perform the valuation in accordance with the Actuarial Standards of Practice that apply to the measurement of pension obligations, including the standards on data quality and on the selection of assumptions. The actuary who signs the report will meet the qualification standards that apply to issuing it.

Some assumptions are prescribed by law for funding purposes, and we will use them as the law requires. Others, such as rates of retirement, termination, and pay increase, are ours to select. We will review those against the plan's own experience where the data are sufficient to say something, and we will discuss any change we propose with you before we adopt it.

Every result in our report depends on those assumptions. The plan's actual experience will differ from them, and when it does, the cost of the plan will differ from what the valuation shows. Our report will state that plainly, and it will show how the main results move when the most important assumptions change.

Who Will Do the Work

Jennifer Vasquez, Consulting Actuary, will lead the work day to day. She is your first contact for anything about scope, data, or timing. David Sherman, Senior Analyst, will load and check the participant data and build the valuation model. Jeffrey Ochoa, Actuarial Analyst, will summarize the plan provisions and do the groundwork

on the assumption review. I will review the results before they reach you, and I will sign the actuarial certification.

Most of the time you will hear from Jennifer Vasquez. If anything in this work is not going the way this letter describes, I would like you to tell me directly.

When the Work Begins

We will begin work on April 18, 2016. We expect the valuation to take about five months from that date. Most of that time is governed by how quickly the data arrive and how many questions they raise. The first weeks go to the data, and we will not calculate any results until the data have been reviewed and the open questions settled with your staff.

Fees and Payment

Our fee for this engagement is fixed. It is stated on the signature page, which counsel will execute with this letter. We will invoice the fee in stages as the work progresses, and invoices are payable within thirty days of receipt. Work outside the scope described here, such as additional projections or meetings beyond those the valuation needs, will be billed only after you approve it in writing.

Term and Termination

This engagement runs from the start of work until we deliver the valuation report and answer your questions on it. Either of us may end it earlier by giving the other thirty days' written notice. If it ends early, you will pay for work performed up to that date, and we will return the data you supplied along with a written account of where the work stands.

Confidentiality

Participant data contain personal information about your employees and their families, including dates of birth and identification numbers. We will hold that information in confidence, use it only for this engagement, and keep it on systems with restricted access. After the engagement ends, we will keep it only as long as our record-retention obligations require.

Our report is prepared for Howard and Sons and for the plan. The plan's auditors and the agencies that oversee the plan may receive it, but no one else may rely on it for another purpose without our written consent.

Limitation of Liability

We will do this work with the care and skill expected of a qualified actuary. Our results depend on the data and documents supplied to us, and we are not responsible for errors that come from information that was incomplete or inaccurate when we received it. Our total liability arising from this engagement is limited to the fees paid under this letter. Neither of us will be liable to the other for indirect or consequential loss. Nothing here limits a liability that the law does not permit us to limit.

Governing Law

This letter is governed by the laws of the state in which our principal office is located. If any provision of it is found unenforceable, the rest of the letter stands.

If this letter reflects our understanding, please sign below and return a copy to me. When it arrives, Jennifer Vasquez will call your office to set a time to go through the data request with your staff.

Sincerely,

Fixed professional fee, as executed: $30,500

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Robert Lawrence
Managing Actuary
Date: April 8, 2016

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Elizabeth Horne
Director of Operations, Howard and Sons
Date: April 8, 2016